VC10X

VC10X PLAYBOOK · CHECKLIST

The Fund II Checklist

35 steps for earning a second, third and later venture fund, organized by seven stages, from the day Fund I closes to running a growing partnership.

From the VC10X playbook *Fund II and Beyond*, built from on-record conversations with established GPs and allocators.

INSIDE: THE SEVEN STAGES

1 **During Fund I**
When does the Fund II raise start?

2 **Keep your promises**
What do LPs check before they re-up?

3 **Between funds**
How do you keep LPs close?

4 **Size the next fund**
How big should Fund II be?

5 **Run the raise**
How is a Fund II raise different?

6 **Grow the team**
Who should you hire, and when?

7 **Run the partnership**
How should partners decide as the firm grows?

\+ **Quarterly LP tracker**
Twelve quarters between funds

During Fund I

Work through stages 1 to 3 and keep the quarterly tracker. Most of the next raise is won here.

Before the next raise

Use stages 4 to 7 to size the fund, plan the raise and settle how the team and partnership will grow.

Read the full playbook: vc10x.com/playbooks/fund-ii-and-beyond

AT A GLANCE

The seven stages

A first fund is a bet on a person and a plan. Every fund after it is a test of whether the plan happened.

#	STAGE	THE QUESTION TO ANSWER	WHAT GOOD LOOKS LIKE
1	**During Fund I**	When does the Fund II raise start?	Evidence collected, and next-fund LPs already in the loop
2	**Keep your promises**	What do LPs check before they re-up?	The fund you sold is the fund you built
3	**Between funds**	How do you keep LPs close?	On-time reports, bad news first, regular face time
4	**Size the next fund**	How big should Fund II be?	A size worked out from the strategy, not from demand
5	**Run the raise**	How is a Fund II raise different?	Existing LPs first, a tight process, a close at target
6	**Grow the team**	Who should you hire, and when?	People trained in your way of investing, and operations that scale
7	**Run the partnership**	How should partners decide as the firm grows?	A decision process, and economics, that everyone agreed in advance

Start in Fund I

Collect the evidence the next fund needs, and keep the LPs who passed in the loop.

Deliver what you sold

The fund you built should match the fund you pitched, or LPs can't re-up.

Size from the strategy

Work out the next fund from companies, ownership and reserves, not from demand.

STAGE 1 OF 7

During Fund I

When does the Fund II raise start?

What good looks like: Evidence collected, and next-fund LPs already in the loop

- [ ] 1 Write down what Fund I must prove for Fund II.
- [ ] 2 Track that evidence every quarter.
- [ ] 3 Keep a list of LPs who passed or were too big for Fund I, and update them.
- [ ] 4 Estimate how much of Fund II your Fund I LPs can cover.
- [ ] 5 Identify the LP types that can grow with you, and start meeting them.

HOW THE LP BASE CHANGES AS FUNDS GROW

Fund I	→	Fund II	→	Fund III and later
Your network: individuals, operators, a few family offices		Fund I LPs re-up; funds of funds and institutions join		Existing LPs increase; space for new ones gets tight

A common path, based on Jonathan Lacoste, Jenny Fielding and Marlon Nichols.

STAGE 2 OF 7

Keep your promises

What do LPs check before they re-up?

What good looks like: The fund you sold is the fund you built

- [ ] 6 Record each fund's promises: company count, ownership, check sizes, sectors.
- [ ] 7 Write down what the fund will avoid.
- [ ] 8 Report against those promises once a year.
- [ ] 9 Explain any change of strategy to LPs before it happens.
- [ ] 10 For any new area, write down why you'll win there and how you'll get access.

STAGE 3 OF 7

Between funds

How do you keep LPs close?

What good looks like: On-time reports, bad news first, regular face time

- [ ] 11 Fix the year's reporting dates, and meet every one.
- [ ] 12 Avoid portfolio structures that delay K-1s.
- [ ] 13 Add a tailored note for your largest LPs.
- [ ] 14 Tell LPs about bad news yourself, before they hear it elsewhere.
- [ ] 15 See LPs in person when you travel, and hold an annual meeting.

STAGE 4 OF 7

Size the next fund

How big should Fund II be?

What good looks like: A size worked out from the strategy, not from demand

- [ ] 16 Set the company count for the next fund.
- [ ] 17 Check round sizes and the ownership you can realistically get.
- [ ] 18 Set the share of the fund held for follow-ons.
- [ ] 19 Build the fund size from those three numbers.
- [ ] 20 Decide how much demand above target you'll turn away.

FUND SIZE, BUILT FROM THE STRATEGY · MARLON NICHOLS'S INPUTS



STAGE 5 OF 7

Run the raise

How is a Fund II raise different?

What good looks like: Existing LPs first, a tight process, a close at target

- [ ] 21 Talk to every existing LP about their re-up before you announce.
- [ ] 22 Find out which LP groups are actively committing right now.
- [ ] 23 Set a target close date and plan the process to fit it.
- [ ] 24 Keep investing time protected during the raise.
- [ ] 25 Close at target rather than holding the fund open.

STAGE 6 OF 7

Grow the team

Who should you hire, and when?

What good looks like: People trained in your way of investing, and operations that scale

- [ ] 26 Hire at principal level and train people in your way of investing.
- [ ] 27 Agree what any new partner must share before they join.
- [ ] 28 Decide what to outsource and what to bring in-house, and when.
- [ ] 29 Put someone in charge of supporting the older portfolio companies.
- [ ] 30 Budget fees for people first.

STAGE 7 OF 7

Run the partnership

How should partners decide as the firm grows?

> **What good looks like:** A decision process, and economics, that everyone agreed in advance

- [ ] 31 Write down how the partnership decides, and who can say no.
- [ ] 32 Agree how carry and fees are shared, and how that changes over time.
- [ ] 33 Review the decision process each fund as the team grows.
- [ ] 34 Write a one-page plan for what the firm is, and isn't, by Fund IV.
- [ ] 35 Name the values the firm runs on, and use them to decide.

Quarterly LP tracker

Tick what happened each quarter. Gaps here are what LPs notice at re-up time.

QUARTER	REPORT SENT ON TIME	NOTES TO TOP LPS	LPS MET IN PERSON	NEXT-FUND LPS UPDATED	PROMISES ON TRACK
Q1					
Q2					
Q3					
Q4					
Q5					
Q6					
Q7					
Q8					
Q9					
Q10					
Q11					
Q12					

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Keep going

The full playbook vc10x.com/playbooks/fund-ii-and-beyond

How to Raise a Venture Fund vc10x.com/playbooks/how-to-raise-a-venture-fund

How LPs Evaluate Venture Fund Managers vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers

Venture Manager Scorecard vc10x.com/manager-scorecard

Fund Economics Calculator vc10x.com/fund-economics-calculator

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